VFIDE — Executive Summary

Veritas + Fides — Truth + Trust A self-custodial payments and commerce protocol on Base. *Version 1.0 · Testnet Edition · Codebase baseline v19.13*

What VFIDE is

VFIDE is a non-custodial payment and commerce protocol built on Base (with Polygon and zkSync Era as additional mainnet targets). It exists to do three things the existing financial system does not:

1. **The merchant receives the full price.** The protocol fee on commerce transactions is hardcoded to zero. The buyer pays the network fee separately and visibly, the way they pay sales tax — not bundled into the cost of goods.
2. **Trust is earned by behavior, not granted by authority.** Every user has a **ProofScore** (0–10,000) computed on-chain from their own activity. Higher ProofScore means lower fees on transfers — from a maximum of 5% for a brand-new user down to 0.25% for a long-trusted user.
3. **No entity can freeze, blacklist, or seize a user's tokens.** Not the developer, not the elected council, not any regulator acting through the contract. The functions that would enable it are *deliberately absent from the source code* — not feature-flagged off, not policy-disabled, but never written.

These properties are encoded in 108 Solidity contracts and verified by 473 test files.

The problem VFIDE addresses

Roughly 1.4 billion adults are unbanked. Two to three billion more pay disproportionately for financial services they cannot opt out of: 2.6%–3.5% per card swipe, 8%–15% on cross-border remittances, 1%–3% per send and per withdrawal on mobile money. These costs do not decrease with loyalty, volume, or proven honesty. There is no "I am a reliable sender" tier in the existing rails.

VFIDE replaces that flat extraction with a behavior-priced curve: pay more when the network has no reason to trust you, pay less as you build a record. The merchant is held harmless from the cost of the system at all times.

How it works in one paragraph

A user's tokens live in a per-user smart-contract vault (`CardBoundVault`) — a phone or wallet app is a *key*, not the *custody*. Lose the phone, the funds are still in the vault, and user-chosen guardians can authorize recovery to a new key. Every transfer's fee is computed by the on-chain `ProofScoreBurnRouter` from a 7-day time-weighted average of the sender's ProofScore. The total fee is split 40% burned / 10% to a community-funded buyer-protection pool (Sanctum) / 50% to the protocol's operations fund (Ecosystem). Governance is a 12-member elected council whose votes are weighted by **ProofScore, not token balance**, so token-buying does not buy voting power. Six months after launch, the developer's administrative key permanently burns and the protocol becomes fully community-governed.

Fee curve at a glance

Sender's ProofScore	Fee on a typical transfer
0 – 4,000 (new / unproven)	5.00% (flat ceiling)
4,000 – 8,000	linear interpolation from 5.00% down to 0.25%
8,000 – 10,000 (trusted)	0.25% (flat floor)
Any score, transfer ≤ 10 VFIDE	capped at 1.00% (micro-transaction relief)

Merchant-of-record commerce transactions: 0.00%, hardcoded.

What VFIDE is not

VFIDE does **not** offer staking, yield, APY, "passive income," investor returns, or rewards-as-returns. There is no presale. The token launches via a Liquidity Bootstrapping Pool where market participants set the price. Fee reductions earned through ProofScore are framed and structurally implemented as a **utility-cost discount** (cheaper transactions when the network trusts you), not as a return on capital. Council members receive **employment compensation** for governance work, auto-swapped to stablecoins, not native-token appreciation. See the full white paper, Section 6 (Howey Compliance Posture), for the complete analysis.

Why this is possible now

Per-user smart-contract vaults plus EIP-712 typed-data signatures plus account-abstraction-grade UX on a low-fee L2 (Base) make non-custodial-with-recovery practical for users who have never heard of a seed phrase. The same low-level primitives DeFi uses for speculation are repurposed here for plain payments and commerce. The novel components are the on-chain reputation engine (Seer), the fee curve that translates reputation into utility savings (`ProofScoreBurnRouter`), and the governance model that uses reputation as voting weight (`DAO`). The novel components are the on-chain reputation engine (Seer), the fee curve that translates reputation into utility savings (`ProofScoreBurnRouter`), and the governance model that uses reputation as voting weight (`DAO`).

Status

Item	Status
Smart contracts (Solidity)	108 files, frozen at v19.13 baseline
Test coverage	473 test files; 9,000+ tests passing
Audit findings tracked	66+ across multiple cycles, all addressed in this baseline
Networks	Base Sepolia (live testnet); Base, Polygon, zkSync Era (mainnet targets)
Developer key burn	Scheduled 6 months post-mainnet via `SystemHandover`
Public audit publication	Planned ahead of mainnet

For the full architecture, governance model, fee mechanics, threat model, and Howey compliance posture, see `WHITEPAPER.md`. For the deepest technical reference — every constant, every contract function, every line citation — see the VFIDE Complete Manual.